
China Food Retail Format Restructuring

Dual Discounting, Product Capability, and Urban Density:
2026 Independent Industry Research Report

Junyi Hu
Duke University

Ziheng Jin
University of Science and Technology of China

June 30, 2026
Data cut-off: June 14, 2026

Contents

How to Read This Report	1
Executive Summary	2
1 Research Scope and Methods	5
1.1 Scope	5
1.2 Evidence Hierarchy	5
1.3 Three Store-Count Definitions	6
1.4 Project Data Assets	6
2 Market Baseline: Resilient Food Demand, Reallocating Channels	7
2.1 Macro Demand Is Not a High-Growth Story	7
2.2 Falling Prices Are Rewriting Assortment and Channel Relationships	8
2.3 Channel Share Migration Decomposition	8
2.4 Consumer Task Segmentation: The Missing Link Between Format and Demand .	10
2.5 Consumer-Task Measurement Framework	11
2.6 National Concentration Coexists with Local Competition	11
2.7 Quantification Stack for Management and Investment Use	12
3 Format Landscape: Four Growth Engines and Two Pressure Samples	13
3.1 Unit Economics Before Format Labels	13
3.2 Warehouse Clubs: Low Density, Large Baskets, Strong Planning	14
3.3 Community Hard Discount: High Density, Small Baskets, Fast Turnover	15
3.4 Snack-Collection Chains: Franchise Density in Standardised Categories	15
3.5 Instant Retail: Industrialising the Cost of Time	16
3.6 Regional Supermarkets: Shrinking Networks, Rebuilding Assortment	16
3.7 Fruit Chains and Premium Supermarkets: Specialisation Does Not Guarantee Scale	17
4 Seven-City Observations: Density Closer to Consumers Than National Counts	18
4.1 Sample and Boundaries	18
4.2 POI Cleaning, Density Metrics, and Audit Trail	18

4.3	High-Line and Lower-Tier Markets Should Not Be Averaged	19
4.4	Sample POI Findings: Stability, Match Quality, and Density	20
4.5	Shanghai Is the Only Sample City with Visible Multi-Format Overlap	21
4.6	Why Map Counts Differ from Filing Counts	22
4.7	Operating Applications	23
5	Company Case Studies: Operating Checklists for Different Cost Systems	24
5.1	Comparable Case-Study Scorecard	24
5.2	Executed Tear Sheets for Representative Cases	25
5.3	Sam's Club and Costco: Same Membership Model, Different Density Paths . . .	25
5.4	ALDI and Hema NB: Two Community-Discount Paths	26
5.5	Wanchen and Busy Ming: After Scale Comes Governance	26
5.6	Yonghui: From Scale Asset to Remodelling Portfolio	27
5.7	Pagoda: Scale Constraints in Non-Standard Categories	27
6	Category Restructuring: From Margin Tables to Task Tables	28
6.1	Category Assessment Matrix	28
6.2	Snacks and Beverages: Easiest to Split from Hypermarket Baskets	28
6.3	Fresh Produce and Bakery: Visit-Frequency Engines	29
6.4	Dairy and Frozen: Cold Chain Defines Channel Boundaries	29
6.5	Fruit: Trust Cost Exceeds Shelf Cost	29
7	Industry Chain Implications	30
7.1	For Brand Owners	30
7.2	For Distributors and Supply-Chain Services	30
7.3	For Commercial Real Estate	30
7.4	For Capital Markets	31
7.4.1	Store Count Is the Wrong Valuation Anchor Across All Six Formats . . .	31
7.5	For Urban Governance and Industry Statistics	33
8	2026–2027 Scenario Analysis	34
8.1	A1: Price Pressure Persists; Discount Channels Outgrow the Market	34
8.2	A2: Prices Stabilise; Quality and Service Regain Weight	35
8.3	Overlay B1: Instant Fulfilment Competition Intensifies; Stores and Warehouses Merge	35

8.4	Overlay B2: Capital Discipline Rises; Opening Shifts from Speed to Returns . . .	36
8.5	Overlay B3: Food Safety and Franchise Governance Risk Rises	36
9	Strategic Recommendations	38
9.1	Expansion Should Be Frozen Unless Task, Contribution, and Density Are Proven	38
9.2	For Comprehensive and Regional Supermarkets	38
9.3	For Warehouse Clubs	39
9.4	For Community Hard Discount	39
9.5	For Snack-Collection Chains	39
9.6	For Brand Owners	39
10	Risk and Monitoring Framework	40
10.1	Ten Monthly / Quarterly Monitoring Indicators	40
10.2	Major Risks	40
10.3	Writing Rules When Evidence Is Insufficient	41
	Conclusion	42
	Appendix A: Core Evidence and Sources	43
	Appendix B: Data Sources and Scope	45

How to Read This Report

This report is an independent industry research document for retail executives, brand owners, commercial real estate operators, investors, and sector analysts. It focuses on industry structure, operating implications, and management decisions. The report addresses three operating questions:

1. Which food retail formats are gaining share, and which are contracting or remodelling?
2. Does growth reflect demand expansion, or channel share migration and cost restructuring?
3. How should firms adjust store networks, assortment, fulfilment, and capital allocation in 2026–2027?

The report cut-off is **14 June 2026**. Company figures prioritise exchange filings, prospectuses, government statistics, industry association releases, and official store pages. Management letters and map POI data serve as operating signals only and are not mixed with statutory period-end store counts. Unless otherwise stated, all figures should be read using their cited disclosure dates.

Bracketed reference codes (e.g. [E008]) correspond to the evidence register in Appendix A, with public links and page references for independent verification. Market rumours without support from official documents, association originals, or verifiable publications are excluded from conclusions. This approach prioritises traceability over completeness when evidence is incomplete.

Public Use Note

This report is provided for industry research and informational purposes only. It does not constitute investment advice, securities research, legal advice, or a recommendation to buy or sell any securities, products, or services. Scenario analysis, working ranges, valuation frameworks, and operating thresholds are analytical tools for industry discussion; they are not forecasts, guarantees, or audited company disclosures, and require independent judgement before business decisions.

Company names, brand names, and trademarks are used only for industry analysis and remain the property of their respective owners. No endorsement or affiliation is thereby implied.

Author affiliations are provided for identification only. This report is an independent research document and does not represent the official position of any university, company, or institution.

Executive Summary

Main Call

Main thesis. China's food retail sector is not a total-demand high-growth story. It is a stock-demand reallocation story: household food tasks are moving across fulfilment radii, product standardisation levels, and cost systems. In 2026–2027, the winners will not be formats that merely advertise lower prices, but operators that institutionalise at least one durable advantage: lower unit price, lower time cost, lower quality risk, or lower fulfilment cost.

Format / System	2026–2027 Base-Case Call	Core Verification Metrics	Main Falsifier
Warehouse clubs	Low store count but high-radius assets keep gaining planned stock-up and quality-certainty tasks	Active members, renewal, annual spend, private-label repeat, fulfilment cost	Card growth without repeat spend or store payback
Community hard discount	Gains high-frequency replenishment share where density, private label, and narrow assortment lower real cost	Mature-store contribution, rent ratio, shrinkage, private-label quality, warehouse-to-store distance	Low price depends on subsidies or supplier concession
Snack-collection chains	Scale is already proven; next judgement shifts to franchise health and warehouse governance	Closure rate, franchisee payback, SKU turnover, warehouse radius, take rate bridge	Store growth masks weak mature stores or franchise disputes
Regional supermarkets	Not a broad recovery; value comes from closing weak stores and improving retained-store productivity	Remodelled-store sales, gross margin, labour productivity, closure cost, cash flow	Company revenue decline is not offset by retained-store quality
Instant retail / front warehouse	Time-cost industrialisation remains attractive, but only order-density cells can earn durable contribution	Orders per site, picking cost, rider cost, substitution rate, on-time rate	Subsidy-led order growth without contribution margin
Fruit and fresh specialists	Frequency is valuable but scale is constrained by trust, grading, shrinkage, and cold-chain control	Shrinkage, return/complaint rate, grading loss, origin control, repeat purchase	Store count grows faster than quality-control capacity

Winner / pressure ranking. The base-case ranking is: (i) snack chains and warehouse clubs keep taking task-specific share; (ii) community hard discount keeps expanding where density and private-label trust are proven; (iii) instant retail wins only in high-order-density cells; (iv) regional supermarkets create value through retained-store productivity, not broad re-expansion; (v) fruit and premium specialists remain constrained unless trust, grading, and occasion use are visibly stronger. Winners combine repeatable demand, disciplined costs, and measurable unit economics.

Core falsifiers. The thesis weakens if FMCG ASP stabilises while low-price channels lose repeat

traffic; if remodelled supermarkets regain both traffic and margin broadly; if member growth fails to convert to active spend; or if franchise closure/payback data deteriorate while store openings continue. They distinguish durable share gains from tactical discounting and cyclical rotation.

Five Evidence Tests

Evidence Test	Current Reading	Why It Matters	Cadence
Market pool	2025 total retail grew 3.7%; 2026Q1 total retail grew 2.4%, while above-designated grain/food grew faster [E004–E005].	Food resilience exists, but it cannot fund simultaneous high growth in every channel.	Monthly
Price / volume	Bain–Worldpanel reports FMCG ASP fell in both 2024 and 2025, while selected discount and club channels grew far faster than the market.	Fast channel growth is more likely share migration and cost-system substitution than demand creation.	Quarterly
Network scale	Sam’s Club has 63 China stores versus Costco’s seven mainland warehouses; snack leaders disclose networks above 18,000 and 21,000 stores [E001–E002, E014, E059].	Store count has different meanings by format: clubs are high-radius assets; snack chains are franchise-density systems.	Quarterly / annual
Portfolio quality	Yonghui reported 392 Q1 2026 stores, 327 remodelled, and 394 cumulative closures since 2025 [E053].	Supermarket contraction can be value-positive only when retained stores improve after closure and remodelling cost.	Quarterly
Local density	The seven-city POI panel shows strong sample density in Shanghai, Hangzhou, and Nanjing, but map-provider divergence remains material.	Local choice sets, not national rankings, determine consumer substitution; POI must be audited before open/close claims.	Monthly

Management Action Roadmap

Priority	Action	Metrics to Monitor	Stop / Red Flag
P0	Freeze expansion without task clarity and mature-store contribution proof	Basket, visits, contribution, payback, fulfilment share	Openings rely on subsidies, supplier concessions, or untested traffic assumptions
P0	Build a standard store-contribution dashboard before approving new density cells	Rent, labour, shrinkage, logistics, fulfilment, local marketing	Sales grow while store contribution or cash payback deteriorates
P1	Separate filing counts, operating signals, and map-visible POI in every board pack	Period-end stores, active locator stores, POI counts, query date	Mixed-definition counts are used for valuation or expansion decisions
P1	Assign category P&L owners to high-frequency traffic engines	Fresh, bakery, dairy, snacks: margin, shrinkage, out-of-stock, repeat	Category gross margin improves by cutting traffic or trust
P2	Redesign pack and price architecture by household task	Unit price, pack size, channel exclusives, grey-market rate	Same pack creates cross-channel price conflict and margin leakage

Research Scope and Methods

1.1 Scope

The report covers six offline or locally fulfilled formats directly tied to food consumption:

1. Warehouse clubs;
2. Community hard discount;
3. Snack-collection (“snack retail”) chains;
4. Comprehensive and regional supermarkets;
5. Fresh food, instant retail, and front warehouses;
6. Fruit chains and premium supermarkets.

Convenience stores, restaurants, community group buying, and pure e-commerce are not full samples, but enter boundary analysis when discussing replenishment frequency, instant fulfilment, and channel substitution. They still test where shopper missions shift across formats.

1.2 Evidence Hierarchy

Tier	Source	Supports	Limitations
A	NBS, exchange PDFs, HKEX prospectuses	Macro, revenue, profit, period-end stores	Publication lag
B	CCFA rankings, sector overviews, remodelling surveys	Industry structure, sample trends	Rankings lag one data year
C	Company websites, official locators, investor releases	Latest network and operating status	May use dynamic definitions
D	Management letters and identifiable company communications	Strategy and operating signals	Non-audited; must be labelled
E	Amap, Baidu POI and price collection	City density, query-date status	Cannot replace national filing counts

Company figures are cited only when Tier A–D sources are explicit and traceable. Tier E data supports spatial structure, methodology, and monitoring examples only, not company claims.

1.3 Three Store-Count Definitions

Filing period-end store counts are statutory disclosures at a reporting date, suitable for cross-company comparison at the same period. This anchors cross-period comparability.

Operating-signal store counts come from dynamic websites, official APIs, or management communications, suitable for tracking latest status. They indicate movement before filings arrive.

Map POI counts are platform-visible, cleaned points on a query date, suitable for measuring city density and flagging possible open/close events. They proxy local availability, not ownership.

For example, Yonghui’s Q1 2026 report discloses 392 period-end stores [E053], while the company’s dynamic store API showed 385 “open” stores [E051]. The definitions differ; this is not a data conflict. ALDI’s dynamic locator showed 99 locations in May 2026 [E052] and cannot be back-filled as a year-end 2025 filing count. Date-stamps keep definitions analytically separate.

1.4 Project Data Assets

The project has assembled:

- A **924-row** city–brand–month panel across 7 cities, 22 brands, and 6 query waves;
- Cross-validation between Amap and Baidu;
- Local archives of 18 listed-company filing PDFs;
- An evidence register linking company disclosures, industry association data, government statistics, and map signals;
- A Shanghai food price-basket pilot.

These assets support industry monitoring and descriptive judgement, but short-window POI changes cannot yet be interpreted as causal entry or exit effects without further validation work.

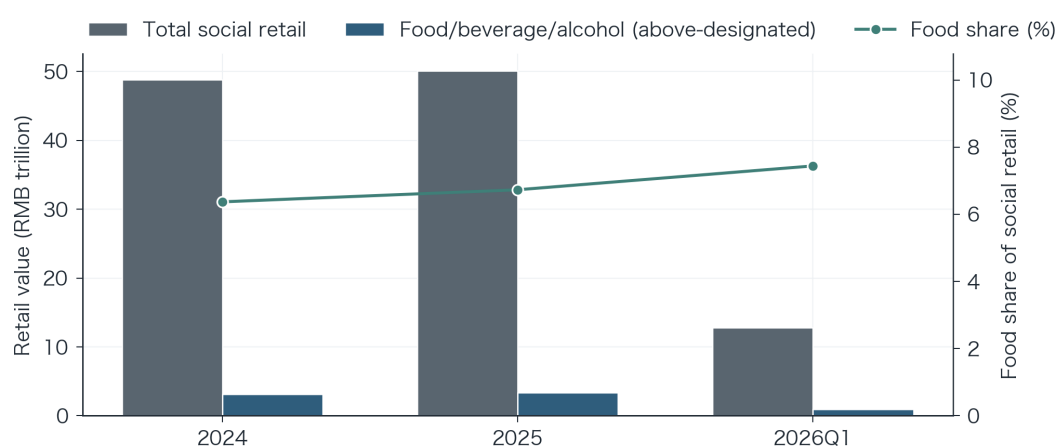
Market Baseline: Resilient Food Demand, Reallocating Channels

2.1 Macro Demand Is Not a High-Growth Story

The core tension in 2024–2026 is not disappearing food demand, but modest nominal growth, persistent price pressure, and rapid channel reallocation across competing retail formats.

Indicator	2024	2025	2026Q1
Total retail sales of consumer goods (RMB 100 m)	487,895	501,202	127,695
YoY growth, total retail	—	3.7%	2.4%
Above-designated-size grain, oil, food (RMB 100 m)	21,737	23,991	6,565
YoY growth, grain/oil/food	—	9.3%	10.0%
Above-designated-size beverages (RMB 100 m)	3,200	3,295	818
Above-designated-size tobacco & liquor (RMB 100 m)	6,159	6,425	2,122

Note: 2026Q1 values are quarterly, not annualised; above-designated-size categories do not represent all food consumption [E004, E005, E024–E026].



Source: NBS 2024 final accounts; NBS 2025 commune; NBS 2026Q1. Above-designated category is a consistent macro anchor only.

The management implication: firms cannot interpret channel growth as automatic industry expansion. If a format grows 40–90% while the total market grows in single digits, most incremental volume must come from other channels' loss, definitional change, or network substitution.

2.2 Falling Prices Are Rewriting Assortment and Channel Relationships

Bain–Worldpanel data show FMCG spending grew only 0.8% in 2024 while volume grew 4.4% and ASP fell 3.4%; ASP fell a further 2.4% in 2025. Consumers are not stopping purchases; they are completing them at lower unit prices, higher promotional efficiency, or more suitable channels.

Price pressure produces three structural effects:

1. **Brand premium is reassessed:** private label, white label, and channel-exclusive products gain testing space as shoppers compare value against legacy national brands;
2. **Wide-SKU management costs are exposed:** slow-moving items tie up inventory, shelf space, and procurement cycles before demand risk reaches margin reports;
3. **Channels sell “certainty”:** clubs sell quality and bulk certainty; hard discounters sell low-price and convenience certainty; instant retail sells time certainty under constraint.

2.3 Channel Share Migration Decomposition

The report’s central quantitative bridge is that format growth must be decomposed into market growth, price/volume effects, and channel share migration. A practical operating version is:

$$S_{f,t} = HH_t \times T_{f,t} \times U_{f,t} \times P_{f,t} \times q_{f,t}$$

$$\Delta \ln S_f \approx \Delta \ln HH + \Delta \ln T_f + \Delta \ln U_f + \Delta \ln P_f + \Delta \ln q_f$$

where (S) is sales, (HH) is the household pool, (T) is trip frequency, (U) is units per basket, (P) is average selling price, and (q) is channel share within the relevant household task pool. Public data currently support the market and price layers better than the household-trip and channel-share layers. Therefore, this report treats channel migration as a decision model with confidence levels rather than a false-precision market-share forecast until richer trip data emerge.

Layer	What It Explains	Current Evidence	Upgrade Required for Institutional Forecasts
Market pool	Whether total food spending is expanding	NBS total retail and grain/oil/food releases	Bridge above-designated-size data to all-channel food retail and FMCG panel definitions
Price / volume	Whether sales grow from units or prices	Bain–Worldpanel ASP, volume, channel commentary	Category-level price and volume by channel, with pack-size adjustment
Channel share	Which format takes trips and baskets	Company disclosures, CCFA rankings, seven-city POI, channel growth references	Comparable channel share matrix by city tier and category
Store quality	Whether new stores add contribution	Filings for stores, closures, remodelling, selected mature-store data	Mature-store sales, contribution margin, payback, closure cost by format
Household task	Why consumers switch	Logical task segmentation and observed format fit	Survey, panel, receipt, or member data by household type and trip purpose

Working quantification. The table below translates the framework into directional 2025–2027E contribution bands. These are not national market-share forecasts. They are ranges for the relevant task pool, designed to show which variables must carry each format’s growth story.

Format	Market Pool	ASP / Pack Mix	Trips / Units	Channel-Share Contribution	Confidence
Warehouse clubs	Low: +0–3%	Neutral to mild drag: -2–+1%	Positive: +5–15%	High: +10–25% in planned stock-up / quality-certainty tasks	Medium
Community hard discount	Low: +0–3%	Negative: -5% to -2%	Positive: +8–18%	High: +15–35% in daily replenishment cells with density proof	Medium
Snack-collection chains	Low: +0–3%	Negative to neutral: -4–0%	Positive: +5–12%	High: +20–40% in standardised snack and beverage baskets	Medium-high
Regional supermarkets	Low: +0–3%	Negative to neutral: -3–0%	Mixed: -3–+5% after remodelling	Negative to retained: -15–0%; positive only in proven fresh / bakery cohorts	Medium
Instant retail / front warehouse	Low: +0–3%	Neutral to mild drag: -2–+1%	Positive: +5–15%	Medium-high: +5–20% in urgent replenishment cells with order density	Medium

Note: Working ranges are triangulated from public macro data, Bain–Worldpanel channel commentary, company disclosures, POI signals, and analyst judgement, not primary measurement. They are directional decision ranges rather than statistically estimated confidence intervals.

Format	Likely Share Source	Current Confidence	Most Useful Next Measurement
Warehouse clubs	Planned stock-up, gifting, bulk household categories from hypermarkets and premium stores	Medium	Active-member repeat spend and category-level basket displacement
Community hard discount	Daily replenishment from regional supermarkets, wet-market substitutes, and convenience trips	Medium	Same-neighbourhood basket price and traffic comparison
Snack-collection	Standardised snacks and beverages split out from comprehensive supermarket baskets	High for direction, medium for magnitude	Brand/category sell-through and mature-store sales by city tier
Instant retail	Urgent replenishment and forgotten-item tasks from nearby stores and platforms	Medium	Order-density cell contribution margin and substitution rate
Regional supermarkets	Retained share where fresh trust, bakery, and community service improve	Medium	Remodelled-store cohort revenue, gross margin, shrinkage, and traffic

2.4 Consumer Task Segmentation: The Missing Link Between Format and Demand

Format labels are weak predictors unless they are tied to the household task being served. The same household may use a warehouse club for monthly stock-up, a community discounter for weekday replenishment, a snack chain for impulse standardised items, and instant retail for urgent fresh or forgotten items. The report therefore uses task segments rather than income labels as the operating unit. This better captures switching behaviour within the same household budget.

Task Segment	Binding Constraint	Format Advantage	Observable Metrics
Monthly stock-up	Vehicle, storage, planned basket	Warehouse clubs and selected bulk online fulfilment	Member renewal, annual spend, bulk-pack repurchase, freezer/storage categories
Daily replenishment	Walking radius, time, small basket	Community hard discount and community supermarkets	Visit frequency, basket size, out-of-stock rate, 0.5–1 km density
Standardised impulse	Price transparency, novelty, shelf stability	Snack-collection chains and discount shelves	SKU turnover, new-product sell-through, franchise closure rate
Fresh trust mission	Freshness, grading, return confidence	Remodelled supermarkets, Hema-type stores, instant retail	Shrinkage, complaint rate, same-day sell-through, repeat purchase
Urgent fulfilment	Time certainty, search cost, delivery reliability	Instant retail and front warehouses	Picking time, substitution rate, delivery punctuality, order density
Gifting / discovery	Authenticity, service, premium curation	Premium supermarkets, clubs, specialty stores	Gross margin by occasion, repeat gifting SKUs, service labour productivity

This framework prevents a common error: interpreting “low price” as a single consumer segment. In practice, low effective cost can mean lower unit price, lower time cost, lower search cost, lower perceived quality risk, or lower waste after pack-size adjustment. Each channel must prove which cost it lowers. Otherwise, low-price claims remain too broad for operating decisions.

2.5 Consumer-Task Measurement Framework

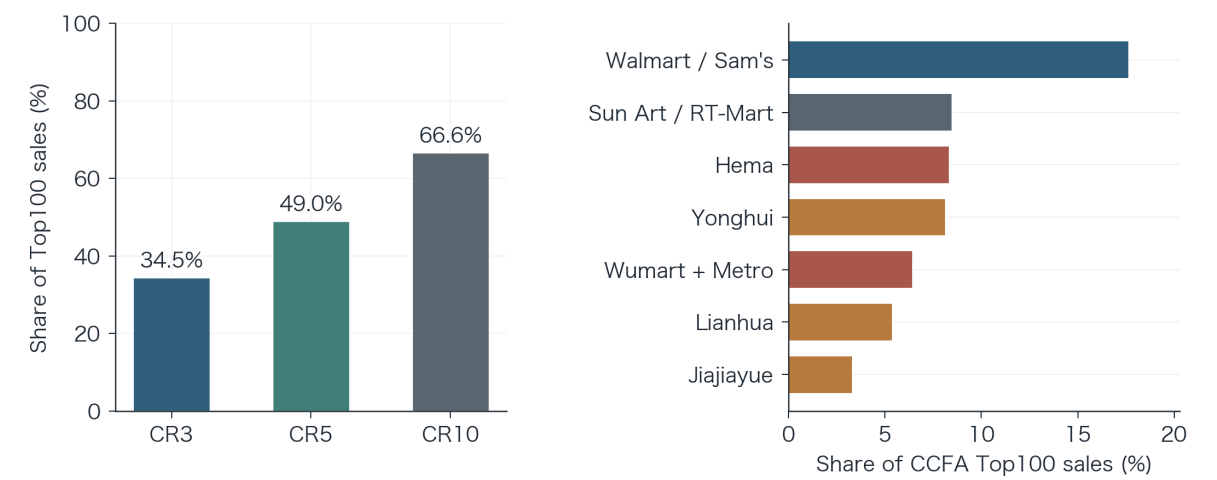
The consumer-task framework is operationalised through observable evidence layers that connect format choice with trip purpose, basket structure, fulfilment needs, and switching behaviour. These layers are used to distinguish genuine channel substitution from headline store growth or price-led traffic movement. They also clarify which metrics deserve management attention.

Evidence Layer	What It Captures	Operating Use
Consumer survey	Trip purpose, switching reason, storage/vehicle constraints, and perceived quality risk	Tests whether format choice is driven by task need, price perception, convenience, or trust
Receipt / payment panel	Basket size, purchase frequency, category migration, and cross-channel behaviour	Tracks whether spend is shifting across formats, categories, pack sizes, or purchase occasions
Member / platform data	Renewal, repeat purchase, fulfilment preference, substitution, and complaint patterns	Separates registered users or gross orders from active, repeat, and economically valuable demand
Expert and channel interviews	Store-opening constraints, franchisee economics, supplier behaviour, and local execution limits	Identifies whether growth is constrained by operations, site quality, supply terms, or local density
Mystery price basket	Comparable unit prices, pack architecture, promotion mechanics, and channel-exclusive pricing	Compares effective cost across clubs, discount stores, supermarkets, snack stores, and instant retail

2.6 National Concentration Coexists with Local Competition

CCFA’s 2024 Supermarket Top 100 reported sales of roughly RMB 900 billion, about 25,200 stores, top-ten sales share of 66.6%, and online sales share of 16.9% [E006]. These figures define scale, concentration, and online penetration context. Project calculations from ranking sales:

Metric	Value	Reading
CR3	34.47%	Clear head advantage, no single national monopoly
CR5	49.04%	Top five near half; regional players retain space
CR10	66.62%	Consistent with CCFA’s 66.6%
Top10-only HHI	635.7	Mechanical reference only; understates local concentration



Source: CCFA 2024 China Supermarket Top100 (data year 2024, released 2025).

National share matters for capital and procurement, but consumers face local choice sets. A city may simultaneously have concentrated warehouse clubs, dense community discounters, and weak traditional supermarket coverage. Analysis should move from ‘national ranking’ to “city–district–community–delivery circle.” Local density determines the real substitute set.

2.7 Quantification Stack for Management and Investment Use

To move the report from narrative research to decision support, each conclusion should be mapped to a measurable layer. The current evidence base is strongest at the macro, company, and seven-city POI layers; it remains weaker at household microdata and subdistrict causal identification. This defines confidence levels before translating findings into actions.

Layer	Core Question	Minimum Metric Set	Current Status
Market baseline	Is the pool expanding or reallocating?	Total retail, food retail, FMCG ASP, channel growth	Strong; public sources
Format scale	Is a format expanding with quality?	Stores, mature-store sales, closures, payback, gross margin	Medium; disclosure uneven
Spatial density	Is expansion forming cost density?	City POI, nearest-neighbour distance, warehouse radius, delivery radius	Medium; seven-city panel
Category economics	Which categories anchor frequency and margin?	Turnover, shrinkage, gross margin, out-of-stock, cross-category lift	Weak; firm-level disclosure limited
Consumer task	Which households benefit?	Basket size, trip purpose, vehicle/storage proxy, time cost	Weak; needs survey or panel data
Risk and valuation	What can break the thesis?	Trigger, transmission path, warning indicator, valuation multiple sensitivity	Framework supplied; data to fill

For management and investment use, the report prioritises city density, local income/rent/housing proxies, category price baskets, and mature-store indicators over national store-count headlines.

Format Landscape: Four Growth Engines and Two Pressure Samples

3.1 Unit Economics Before Format Labels

The operating question is not whether a company is a club, discounter, snack chain, or supermarket. It is whether the format can turn a customer task into repeatable store contribution over multiple cycles. A standardised template should be applied before expansion approval:

$$C_{\text{store}} = \text{GP} + \text{Fees} - \text{Rent} - \text{Labour} - \text{Utilities} - \text{Shrinkage} - \text{Logistics} - \text{Fulfilment} - \text{Local Marketing}$$

$$\text{Payback} = \frac{\text{Initial Capex} + \text{Opening Loss}}{\text{Annual Store Contribution}}$$

Format	Variables That Must Be Modelled	Minimum Proof Before Faster Expansion
Warehouse clubs	Active members, renewal, annual spend, membership fee income, gross margin, fulfilment drag, parking/property cost, capex	Mature-store cash flow supports new-city capex after fulfilment and member-acquisition cost
Community hard discount	Sales per store, rent ratio, labour, shrinkage, private-label mix, SKU count, delivery frequency, logistics cost per store	Low price is explained by lower complexity and density, not temporary subsidy
Snack-collection chains	Company revenue vs. GMV vs. franchisee sales, franchisee gross margin, payback, closure rate, warehouse radius, SKU turnover	Franchisee returns remain acceptable after opening subsidies and local competition normalise
Traditional supermarket remodel	Remodel capex, before/after traffic, gross margin, labour productivity, shrinkage, closure cost, lease liabilities	Retained-store improvement exceeds closure and renovation cost at cohort level
Instant retail / front warehouse	Gross profit per order, picking cost, rider cost, subsidy, shrinkage, substitution rate, orders per site	Contribution margin turns positive at the target order-density cell
Fruit / fresh specialists	Shrinkage, grading loss, cold-chain cost, return/complaint rate, origin control, franchise governance	Repeat purchase and trust metrics improve without hiding quality cost in suppliers or franchisees

Indicative benchmark thresholds.

Format	Core Threshold	Base Case	Red Flag	Decision Use
Warehouse clubs	Member renewal / active spend	Renewal stable or improving; annual spend covers member acquisition and fulfilment drag	Renewal down 5 pp or card growth without repeat spend	Do not enter a new city before member-quality and fulfilment-cost evidence
Community hard discount	Rent ratio / shrinkage / replenishment distance	Rent-to-sales 4–8%; shrinkage 1–3%; regional replenishment radius under 80 km	Rent-to-sales above 10%; shrinkage above 4%; frequent stock-outs	Pause openings unless density lowers permanent cost, not just opening subsidy
Snack-collection chains	Franchisee payback / closure rate	Payback 12–24 months; closure rate normalises below high single digits	Payback above 30 months or closure rate above 10% after opening wave	Shift from store-count incentives to franchise cash-return and warehouse utilisation
Traditional supermarket remodel	Remodelled cohort sales and margin	Same-store sales up 5–15%; gross margin and traffic improve together	Two consecutive quarters of negative traffic or margin after remodel	Stop copying remodel template until category and labour execution are fixed
Instant retail / front warehouse	Fulfilment cost per order / order density	Fulfilment cost falls as orders per site rise; contribution positive in target cells	Cost per order stays above RMB 12 or subsidies drive most orders	Close or merge low-density cells; include fulfilment in store P&L
Fruit / fresh specialists	Shrinkage / complaint rate / grading loss	Shrinkage and complaints stable while repeat purchase rises	Shrinkage above 12–15% or quality disputes rise after expansion	Slow expansion until origin, grading, and returns governance improve

Note: Thresholds are indicative management ranges compiled for decision discipline. They require calibration by city tier, store size, category mix, lease term, labour model, and fulfilment design. They guide comparison, not valuation or guidance. They are not audited company disclosures.

3.2 Warehouse Clubs: Low Density, Large Baskets, Strong Planning

Warehouse-club networks are small in store count but exert influence beyond store numbers through service radius, parking and delivery capacity, member activity, and bulk purchasing.

Company / Brand	Verified Network	Date & Definition
Sam's Club	63 stores	2026-01-31, Walmart China official units [E001]
Costco mainland China	7 warehouses	2026-02-15, official investor release [E002]
Sun Art M Membership	6 stores	2026-03-31, company profile update [E046]

The format's core is not “premium” but combining membership fees, purchasing scale, bulk packs, and quality curation into a large-basket solution. Key operating risks include:

- Whether member growth reflects real activity rather than one-off card purchases;
- Whether bulk unit-price advantage covers storage and waste costs;
- Whether regional warehouse and online fulfilment form density after new-city entry;
- Whether private label builds repeat purchase rather than relying on short-lived viral SKUs.

3.3 Community Hard Discount: High Density, Small Baskets, Fast Turnover

Community hard discount builds low price on proximity and simplification. Unlike clubs, it does not require membership fees or large storage space, and suits high-frequency replenishment.

ALDI's official locator showed 99 locations in a May 2026 dynamic query [E052]. Hema NB's year-end 2025 management operating signal is 410 stores [E050]. These figures use dynamic locator and management-signal definitions respectively; they are not the same audited count, but indicate community discount has moved from single-city trials to regional or national replication.

Key constraints are not opening speed alone but:

1. Whether assortment covers daily tasks with fewer SKUs;
2. Whether private label supplies stably and controls quality;
3. Whether store density lowers replenishment and management cost;
4. Whether low price reflects permanent cost advantage, not supplier subsidies;
5. Whether new-region expansion replicates original cities' customer base and rent conditions.

3.4 Snack-Collection Chains: Franchise Density in Standardised Categories

Snack-collection is among the clearest store-scale expansion samples in this restructuring cycle.

Company	Stores	Revenue	Disclosure
Wanchen snack business	18,314	RMB 50.857 bn snack revenue, 2025	2025 annual report [E059]
Busy Ming	21,041	RMB 46.371 bn, 2025 Q1–Q3	2026 HKEX prospectus; stores at 2025-11-30 [E014]

Combined stores exceed 39,000, but revenue periods differ; merged annual revenue or market share is not calculated. Next-stage competition will focus on franchisee returns and closure rates;

ambient and cold-chain regional coverage; post-merger assortment unification and localisation boundaries; procurement bargaining and new-product incubation for high-turnover items; and inventory complexity when expanding from snacks into beverages, dairy, and household goods.

3.5 Instant Retail: Industrialising the Cost of Time

Instant retail is not “moving the supermarket into a phone.” It still requires local inventory, in-store picking, cold chain, riders, and high order density. The product is predictable fulfilment time. Economics depend on density, substitution, and disciplined picking execution.

Bain–Worldpanel reports O2O channel sales grew 7.9% in Q3 2025, with rising penetration and purchase frequency. For operators, instant retail has at least three distinct operating models:

1. **Store fulfilment:** shares store inventory and rent, but picking disrupts in-store experience;
2. **Front-warehouse fulfilment:** stable timing, but higher fixed cost and shrinkage pressure;
3. **Platform flash warehouses:** fast expansion via merchant–platform supply organisation, but complex governance across inventory, pricing, service, and accountability.

Model viability should be judged on order density, fulfilment cost, out-of-stock substitution rate, shrinkage, and repeat purchase—not order peaks alone in short campaigns.

3.6 Regional Supermarkets: Shrinking Networks, Rebuilding Assortment

Company	Latest Store Signal	Operating Actions
Yonghui	392 stores	327 remodelled; 394 cumulative closures since 2025 [E053]
Jiajiayue	1,071 stores	Q1 2026: 6 opened, 10 closed, net −4 [E055]
Sanjiang	183 stores	2025: 3 opened, 11 closed, net −8 [E057]
Bubugao	53 stores	22 supermarkets, 31 dept./mall; 21 supermarkets remodelled [E058]
Lianhua	3,067 stores	2025 turnover RMB 17.753 bn [E060]

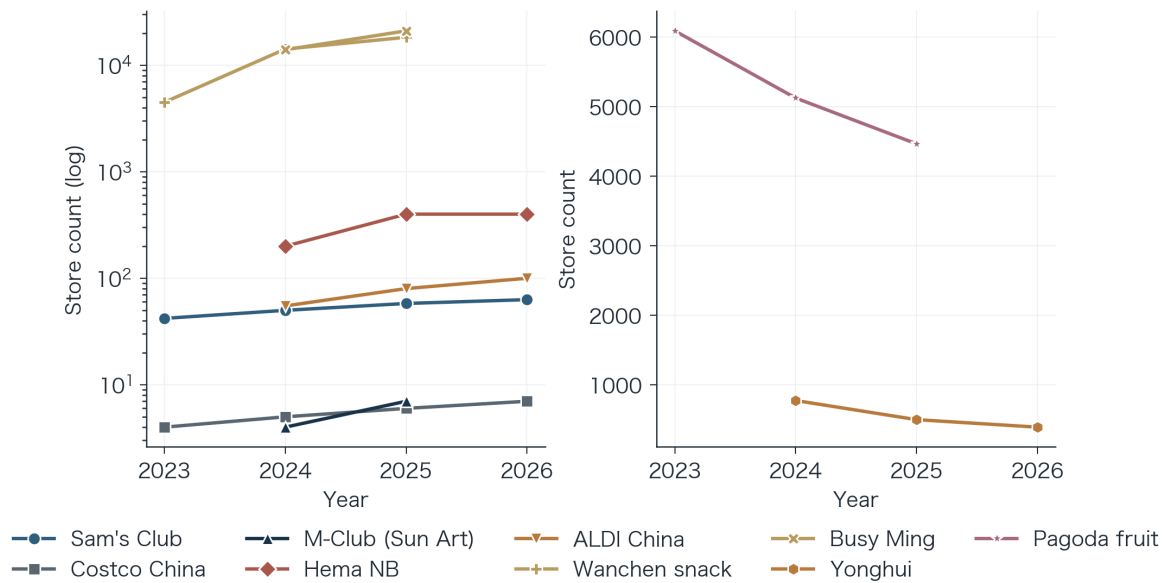
These firms’ shared task is not restoring historical store counts but improving retained-network quality after selective network contraction. Remodelling success should be assessed jointly on:

- Remodelled-store revenue and gross margin;
- Traffic, repeat purchase, and high-frequency category contribution;
- Labour productivity and shrinkage improvement;
- Whether closures release cash and management capacity;
- Whether remodelling templates replicate across cities.

3.7 Fruit Chains and Premium Supermarkets: Specialisation Does Not Guarantee Scale

Pagoda reported 4,468 offline stores at year-end 2025, down from 5,127 at year-end 2024; 2025 revenue RMB 8.174 billion [E015]. Fruit is high-frequency but non-standard, perishable, origin-volatile, and trust-intensive, raising cross-region replication difficulty under quality control.

Premium supermarkets face different pressure: imported goods and ambience premium no longer constitute a stable task alone. Survival more likely comes from gifting, discovery, food service, regional exclusives, and high service density—not maintaining a broad high-price SKU set.



Sources: company filings, locators, and credible media (2023 - 2026).

Reading the figure. The left side should be read as a scale-adjusted growth comparison rather than a direct store-count comparison: snack chains operate at tens of thousands of points, while warehouse clubs remain low-density but high-radius assets. The right side shows why store-count contraction alone is not a failure signal; for regional supermarkets and fruit specialists, the question is whether closures release capital and improve the retained network. Together they reinforce the report's central rule: format economics must be evaluated by cost system, density, customer task, and retained-network quality, not by headline store count alone.

Seven-City Observations: Density Closer to Consumers Than National Counts

4.1 Sample and Boundaries

The project tracks 22 brands across Shanghai, Beijing, Hangzhou, Nanjing, Jinan, Changsha, and Shijiazhuang—154 brand–city targets. January–June 2026 yields six measured waves and a 924-row monthly panel. This supports density comparisons without implying causal store effects.

Map data answer “visible density and change for a brand in a city,” not company national store counts. Same-name brands, in-mall stores, delivery stations, closed-store residuals, and platform re-indexing can all introduce error, requiring careful cleaning before interpretation.

The sample is deliberately an urban monitoring panel, not a national density census. It selectively over-represents high- and middle-tier cities where warehouse clubs, community discount trials, instant fulfilment, and remodelled supermarkets are easier to observe. It under-represents county-level markets and lower-tier city districts where snack-collection chains, regional fresh stores, and local discount formats may have different rent, labour, traffic, and franchise economics.

4.2 POI Cleaning, Density Metrics, and Audit Trail

The POI panel is valuable because it observes the local choice set that consumers face. Its institutional use depends on separating raw map points from audited operating signals before management conclusions are drawn from local movement. The minimum audit trail is:

1. Query date, platform, city, brand keyword, and search radius;
2. Removal rules for duplicates, closed points, delivery stations, and irrelevant same-name stores;
3. Amap/Baidu cross-check status and manual exception flags;
4. Linkage to the nearest official filing or locator definition;
5. Explicit label that POI is a visible point count, not a statutory store count.

Raw POI counts are interpreted through three standardised density metrics to avoid treating larger cities as automatically stronger brand markets in cross-city comparisons:

$$\text{Store Density}_{b,c} = \frac{\text{POI}_{b,c}}{\text{Population}_c/10,000}$$

$$\text{Area Density}_{b,c} = \frac{\text{POI}_{b,c}}{\text{Urban Built Area}_c}$$

$$\text{Competitive Intensity}_c = \sum_b \frac{\text{POI}_{b,c}}{\text{Population}_c/10,000}$$

Audit Output	Why It Matters	Decision Use
Raw POI count	Shows current map visibility, but includes noise	Early warning only
Clean POI count	Removes obvious duplicates and non-store points	City density comparison
Cross-platform match flag	Reduces platform-specific indexing bias	Confidence score for change events
Official definition bridge	Prevents mixing filing, locator, and POI concepts	Board and investor communication
Population/area standardisation	Converts “large city has more stores” into density	Site selection and competitive intensity

4.3 High-Line and Lower-Tier Markets Should Not Be Averaged

High-line cities and lower-tier markets differ on the variables that matter most to dual discounting: income distribution, car ownership, dwelling storage, rent level, delivery density, labour cost, and consumer willingness to substitute private label. A format can therefore be strong in one market tier and fragile in another even under the same national banner.

Dimension	High-Line / Dense Urban Markets	Lower-Tier / County Markets	Implication
Rent and traffic	High rent; strong mall and office traffic variation	Lower rent; more dispersed residential traffic	Store model cannot use one rent-to-sales threshold
Warehouse club fit	Higher income and car ownership, but smaller storage in central districts	More storage in some households, but lower membership fee tolerance	Evaluate member activity, not card sales
Hard discount fit	Strong time-cost value, intense site competition	Strong price sensitivity; local brands and wet markets remain relevant	Private-label trust must be built locally
Snack-chain fit	Dense footfall and rapid new-product testing	High franchise penetration and lower fit-out cost	Closure and franchisee payback must be separated by tier
Instant retail fit	High order density and rider network availability	Lower order density, longer delivery radius	Fulfilment economics diverge sharply

For national strategy, management should run separate dashboards for (i) core high-line urban districts, (ii) surrounding commuter cities, and (iii) lower-tier/county markets. The current seven-city POI panel supports the first two categories better than the third category directly.

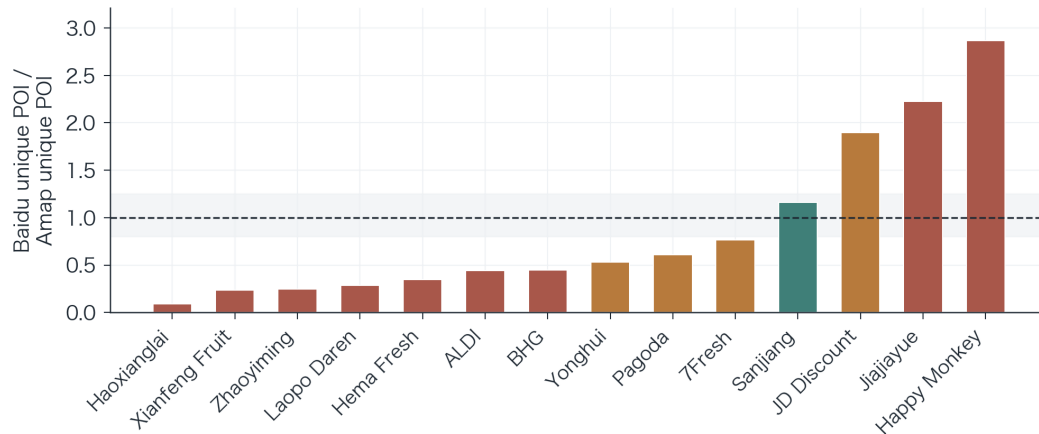
4.4 Sample POI Findings: Stability, Match Quality, and Density

First, the Jan–Jun 2026 panel is more useful for density monitoring than for open/close claims. Cleaned counts by format return close to their January baseline by June. A forced “net change waterfall” would therefore overstate precision. The correct reading is that the current panel can flag events for manual review, but does not yet prove opening or closure at store level, without treating map movement as audited operating evidence.



Source: seven-city, six-wave POI panel (Jan–Jun 2026). Short-window POI is a monitoring signal, not proof of openings or closures.

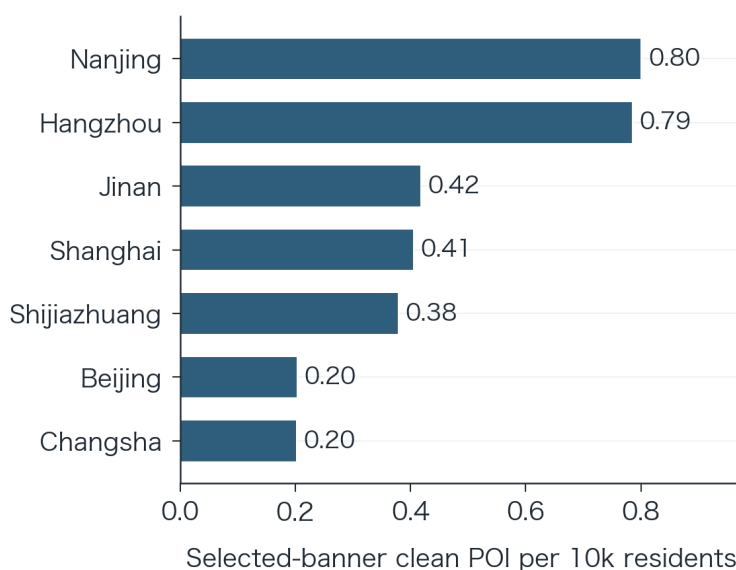
Second, provider divergence is a finding, not a nuisance. Amap and Baidu are directionally aligned for only part of the sample. Ratios far below or above one usually reflect keyword coverage, map indexing, delivery points, same-name noise, or local platform strength. A brand–city change should not be promoted to a management conclusion until the provider gap is explained.



Source: Amap and Baidu cross-map query (June 2026). Ratios far from 1.0 require manual audit before any open/close conclusion.

Third, normalising by population changes the city reading. Absolute POI counts make Shanghai and Hangzhou look dominant, but the selected-banner density index puts Nanjing and Hangzhou at the top of this seven-city sample. This does not mean those cities have the most total food retail stores; it means the tracked banners are more visible per resident in the current

sample, within the selected brand city monitoring frame, not the full national retail universe.



Source: June 2026 cleaned POI panel; 2024 city population denominators. Sample-banner density only.

4.5 Shanghai Is the Only Sample City with Visible Multi-Format Overlap

Regional deep-dive: high density in few cities, then expansion to neighbours where supply chains overlap—typical of community hard discount and some regional supermarkets.

National low-density: few national stores but large per-store radius and high online order share—typical of warehouse clubs serving planned stock-up missions across wider catchments.

Franchise network: many visible POI per city, fast cross-region expansion, but higher map noise—typical of snack-collection chains with variable franchisee and listing quality.

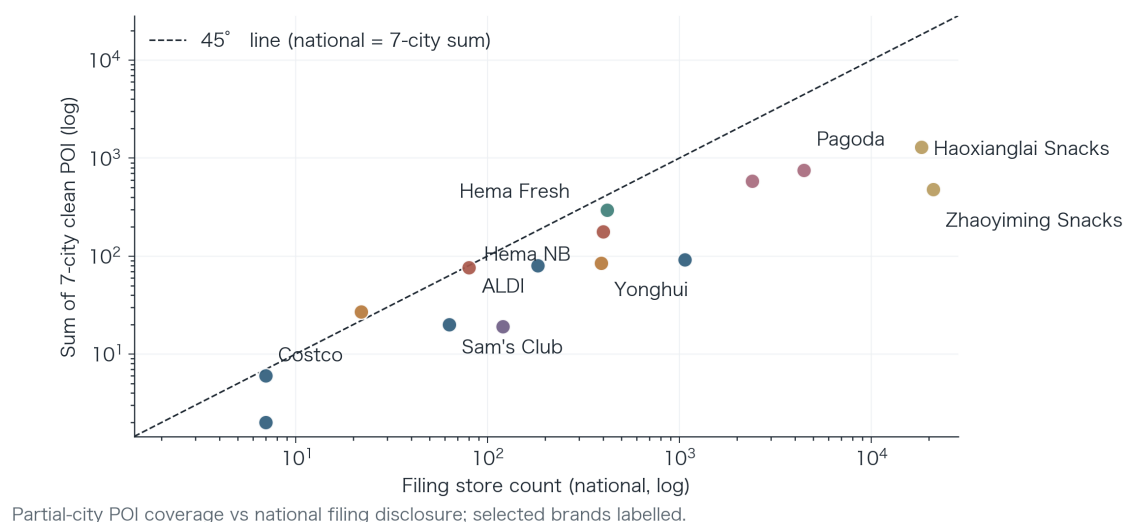


Seven sample cities; cleaned Amap POI as of 2026-05-17.

Strategic reading. The May 2026 cleaned Amap snapshot shows that Shanghai is the only sample city where ALDI, Hema Fresh, Hema NB, Yonghui, Sam’s Club, and Costco all appear with meaningful overlap. Hangzhou combines Hema Fresh, Hema NB, and warehouse-club visibility; Nanjing is a smaller mixed-format sample; Beijing in this panel is mainly Hema Fresh and Yonghui; Jinan, Changsha, and Shijiazhuang show lower visibility for the selected club and hard-discount banners, which does not imply low total food-retail competition because local banners and county-market formats are outside this small displayed subset by design.

City Cluster	Visible Pattern in Displayed Banners	Strategic Implication
Shanghai	ALDI 71, Hema Fresh 119, Hema NB 100, Yonghui 21, Sam’s 10, Costco 2	Multi-format competition is already local; operators need district-level task positioning, not city-level entry claims
Hangzhou / Nanjing	Hema and Hema NB both visible; clubs present; ALDI appears only in Nanjing within this display	Community discount, fresh retail, and clubs can overlap, so price and fulfilment claims must be tested by neighbourhood
Beijing	Hema Fresh 60 and Yonghui 23 dominate the displayed set; ALDI and Hema NB are absent from the displayed query	Absence of a selected banner is not absence of competition; monitor local supermarkets, platforms, and warehouse delivery
Jinan / Changsha / Shijiazhuang	Selected club and hard-discount banners are sparse; Yonghui is more visible in Shijiazhuang	Lower displayed density raises the importance of local banners, franchise snacks, and regional fresh formats

4.6 Why Map Counts Differ from Filing Counts



Differences mainly arise from five factors:

1. The sample covers seven cities; filings are national;
2. Maps may include delivery points, duplicates, or historical points;
3. Company disclosures merge by legal entity or format; maps index by brand name;

4. Filings are period-end snapshots; maps are query-date status;
5. New stores may appear on maps before opening; closures may lag offline.

Map changes therefore trigger manual verification only; they do not directly generate opening or closing conclusions without supporting disclosure or field confirmation evidence.

4.7 Operating Applications

The seven-city panel best supports four management uses:

- Identifying competitors' intra-city density changes;
- Flagging possible open/close events for manual review;
- Comparing whether brand expansion forms adjacent-city clusters;
- Linking store density to price, ratings, and delivery coverage.

It is not suitable for direct national market-share or total company store-count calculation.

Company Case Studies: Operating Checklists for Different Cost Systems

5.1 Comparable Case-Study Scorecard

Each company case should be read through the same benchmark template. This prevents a common analytical error: praising one company for store growth while judging another by margin or cash flow. The scorecard below provides the standard comparison format for company case pages in this report, ensuring evidence is weighed on comparable analytical grounds.

Module	Question	Required Metrics / Evidence
Consumer task served	Which household task does the format win?	Stock-up, daily replenishment, impulse, fresh trust, urgent fulfilment, gifting/discovery
Operating scale	How large is the operating system?	Stores, cities, warehouses, revenue period, disclosure definition, query date if dynamic
Growth composition	Is growth from new units or better existing units?	Same-store or mature-store sales, new-store ramp, closures, remodelling cohort, city-tier split
Cash contribution quality	Does growth translate into store-level or company-level cash contribution?	Gross margin, store contribution, labour/rent/shrinkage, capex, operating cash flow
Scale advantage	What becomes stronger as scale rises?	Procurement, private label, member data, franchise governance, warehouse density, fulfilment accuracy
Model risk	What breaks the model first?	Quality incidents, franchisee payback, closure rate, supplier terms, subsidy withdrawal, regulatory pressure
Validation KPI	What metric best confirms or challenges the case view?	The smallest observable metric that would confirm or weaken the thesis

Two comparability rules are especially important. For snack chains:

$$\text{Company Revenue} \neq \text{GMV} \neq \text{Franchisee Sell-through}$$

For supermarket turnaround, reported revenue should be read through a store-base bridge rather than headline growth alone to separate retained improvement from portfolio reshaping effects:

$$\begin{aligned} \Delta \text{Reported Revenue} &\approx \Delta \text{Retained Store Revenue} \\ &\quad + \text{New Store Revenue Contribution} \\ &\quad - \text{Closed Store Revenue Contribution} \end{aligned}$$

5.2 Executed Tear Sheets for Representative Cases

Case	Scale / Definition	Growth Quality	Profit Quality	Moat and Risk	Next KPI
Sam's Club vs Costco	Sam's: 63 China stores at 2026-01-31; Costco: seven mainland warehouses at FY2026 Q2 [E001–E002].	Density path, member activity, and city-cluster depth matter more than store-count gap.	Not disclosed at China-format level; must infer from renewal, annual spend, private-label repeat, and fulfilment drag.	Moat: member data, procurement, quality trust. Risk: card growth without repeat spend or delivery cost leakage.	Active members and annual spend per member
ALDI vs Hema NB	ALDI locator: 99 locations in May 2026 [E052]; Hema NB: 410-store management signal at 2025 year-end [E050].	ALDI is regional hard-discount discipline; Hema NB uses Hema procurement and digital infrastructure.	Needs mature-store contribution, rent ratio, shrinkage, and private-label quality evidence.	Moat: narrow SKU and supply simplicity. Risk: low price funded by supplier concessions or fresh shrinkage.	Mature-store contribution after subsidy normalisation
Wanchen vs Busy Ming	Wanchen snack business: 18,314 stores at 2025 year-end; Busy Ming: 21,041 stores at 2025-11-30 [E014, E059].	Scale proven; next question is mature-store quality, closure rate, and post-merger assortment integration.	Company revenue, GMV, and franchisee sales are not interchangeable. Franchisee cash return is the missing bridge.	Moat: warehouse density and franchise governance. Risk: disputes, weak payback, SKU complexity beyond snacks.	Franchisee payback and closure rate
Yonghui	392 Q1 2026 period-end stores; 327 remodelled; 394 cumulative closures since 2025 [E053].	Turnaround value depends on retained-store improvement exceeding closure and remodel cost.	Q1 2026 remodelled-store revenue grew 16.57% YoY and gross margin rose 1.27 pp, but company cash flow must still be tracked.	Moat: fresh, bakery, and community service if repeatable. Risk: isolated remodel wins hide portfolio cost.	Remodelled cohort sales, margin, and cash payback
Pagoda	4,468 offline stores at 2025 year-end, down from 5,127; 2025 revenue RMB 8.174 bn [E015].	Store reduction suggests quality-control and franchise health matter more than footprint growth.	Profit depends on shrinkage, grading loss, origin control, return policy, and franchise execution.	Moat: trust and origin network. Risk: non-standard products amplify complaints and wastage.	Shrinkage, complaint rate, repeat purchase

5.3 Sam's Club and Costco: Same Membership Model, Different Density Paths

Sam's Club store count in China is roughly nine times Costco's [E001–E002]. That gap reflects network scale only, not direct proof of unit efficiency or member value on a comparable basis. Management should decompose clubs into four interlocking systems:

System	Key Question	Leading Indicators
Membership	Do cardholders keep purchasing?	Active members, renewal, annual spend, churn reasons
Assortment	Sufficient exclusives and private label?	Repeat SKUs, substitution rate, quality complaints
Store	Can large-format assets cover fixed cost?	Store ramp, sales per sqm, parking and traffic
Fulfilment	Does online enhance rather than erode stores?	Picking cost, delivery radius, out-of-stock rate

For new-city entry, warehouse networks, online fulfilment, and member education must precede or synchronise with opening—not merely mechanically replicate building size and shelf layout.

5.4 ALDI and Hema NB: Two Community-Discount Paths

ALDI follows classic hard-discount logic: private label + narrow assortment + regional density. Hema NB leverages existing digital, procurement, and fulfilment systems. Both must answer:

- Whether brand equity lets consumers accept substitute products;
- Whether low price is achieved through lower complexity;
- Whether regional supply chains keep getting cheaper as stores multiply;
- Whether fresh and ready-to-eat raise frequency or shrinkage.

Community discount crosses the trial phase when mature-store cash contribution, intra-city density logistics gains, and supplier structure improve—not when national store totals rise.

5.5 Wanchen and Busy Ming: After Scale Comes Governance

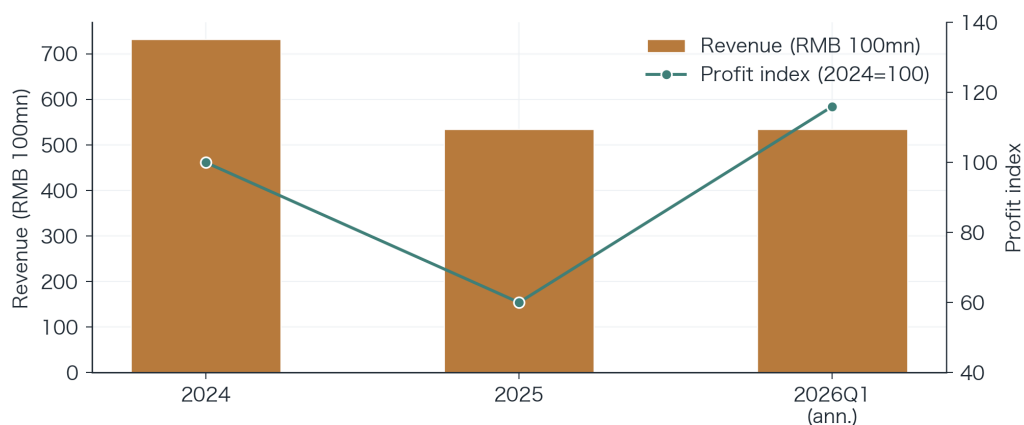
At ten-thousand-store scale across regions and formats, growth is governed jointly by franchise and supply-chain governance, not site selection alone. Management must separate:

1. Revenue from new openings;
2. Organic growth at mature stores;
3. Definition changes from mergers;
4. Inefficient store exits and franchisee turnover;
5. Cross-region warehouse and assortment coordination.

If only total stores and GMV are disclosed, markets cannot judge growth quality. Mature-store sales, franchisee returns, closure rates, warehouse radius, and core-category turnover should be added to distinguish organic growth from merger effects and franchise weakness.

5.6 Yonghui: From Scale Asset to Remodelling Portfolio

Yonghui shows closures and operating improvement can coexist. Q1 2026 reports 392 period-end stores, 327 remodelled; remodelled-store revenue up 16.57% YoY; company gross margin up 1.27 percentage points [E053], but payback and cash conversion remain decisive tests.



Sources: Yonghui 2025 annual report; 2026Q1 report. 2026Q1 revenue annualised $\times 4$.

This does not prove every remodelled store succeeds, but provides a better evaluation frame:

- Assess remodelling coverage first, then remodelled revenue and margin;
- Separate closure losses from retained-store improvement;
- Do not reject portfolio quality gains because total revenue fell;
- Do not mask cash flow and one-off costs with a few remodelled-store growth stories.

5.7 Pagoda: Scale Constraints in Non-Standard Categories

Fruit chains' challenge is insufficient standardisation, not insufficient visit frequency. Store expansion simultaneously amplifies procurement volatility, shrinkage, quality disputes, and franchise management cost. Pagoda's 2025 store and revenue contraction [E015] suggests "scale" must be redefined as controllable origin, grading, cold chain, and trust networks—not store count alone when product variability rises across regions, seasons, suppliers, and grades.

Category Restructuring: From Margin Tables to Task Tables

6.1 Category Assessment Matrix

Category	Std.	Shrink.	Freq.	Key Variable	Best-Fit Formats
Snacks	High	Low	Med/high	Unit price, new products, density	Snack retail, hard discount
Beverages	High	Low	High	Unit price, cold cabinet, instant	Snack stores, community, instant
Ambient dairy	High	Low	Med/high	Pack, brand, private label	Clubs, hard discount
Chilled dairy	Med	Med	High	Cold chain, replenishment, distance	Community, instant
Bakery	Med	High	High	Freshness, in-store feel, time slot	Remodelled SM, clubs
Fresh produce	Low	High	High	Trust, shrinkage, fulfilment	Regional SM, instant
Frozen food	Med/high	Low	Med	Cold chain, storage, pack	Clubs, comprehensive SM
Fruit	Low	High	High	Grading, origin, trust	Regional SM, specialist chains
Liquor	Med/high	Low	Low/med	Authenticity, gifting, price tier	Clubs, premium SM, snack

This matrix is not fixed; firms should re-score by city, district, and fulfilment conditions.

6.2 Snacks and Beverages: Easiest to Split from Hypermarket Baskets

Snacks and beverages are highly standardised, price-transparent, and relatively shelf-stable; consumers need not complete a large basket in one trip. Snack-collection chains split these categories from comprehensive supermarkets through dense stores and centralised procurement.

Brand owners should not only offer lower supply prices to snack channels but design:

- Channel-exclusive pack sizes to reduce direct price comparison;
- Different replenishment rhythms for core staples vs. new-product tests;
- Packs suited to dense shelf display;
- Clear sharing of near-expiry, returns, and promotion costs.

6.3 Fresh Produce and Bakery: Visit-Frequency Engines

Above-designated-size grain and food sales in 2025 and Q1 2026 clearly outpaced total retail [E004–E005]. Fresh produce is not inherently high-margin; its value is building frequency, trust, and cross-category purchase by anchoring repeat visits and broader basket completion.

CCFA remodelling samples list bakery among important traffic-improvement categories. Firms should avoid treating bakery as “hero SKU display” only; monitor time-slot sell-through, write-offs, repeat purchase, and cross-category lift across morning, afternoon, evening, and weekend missions.

6.4 Dairy and Frozen: Cold Chain Defines Channel Boundaries

Ambient dairy standardises and bulk-buys easily—suited to clubs and hard discount. Chilled dairy depends on proximity and cold-chain stability. Frozen food is constrained by both enterprise cold chain and household freezer space, especially for larger packs and longer storage.

Brand owners should design separate pack architectures for stock-up, daily replenishment, and instant tasks—not one pack for cross-channel price comparison and margin leakage.

6.5 Fruit: Trust Cost Exceeds Shelf Cost

Fruit prices and quality vary; consumers cannot judge on brand and pack alone. Operators must close the loop on origin, grading, ripeness, returns, and shrinkage. Cutting procurement price alone may hurt repeat purchase; expanding stores alone may amplify quality-control problems.

Industry Chain Implications

7.1 For Brand Owners

Brand owners are shifting from “winning more shelf space” to “designing different products for different tasks.” Three channel product architectures are recommended rather than one:

1. **Club stock-up:** large packs, quality certainty, low unit price;
2. **Community replenishment:** small packs, high turnover, clear pricing;
3. **Instant task:** low out-of-stock, easy search, stable fulfilment.

Uniform packs across channels amplify price comparison and conflict; excessive exclusives raise production complexity. Optimal boundaries depend jointly on volume, margin, supply stability, and brand equity, rather than short-term volume or bargaining power alone.

7.2 For Distributors and Supply-Chain Services

Channel central purchasing and rising private label compress traditional multi-tier distribution but create new service demand across regional fulfilment and quality-control functions:

- Regional pooled delivery and small-batch high-frequency replenishment;
- Quality inspection and supplier management;
- Cold chain, near-expiry, and reverse logistics;
- Data-driven inventory and franchise replenishment;
- Flexible production for channel-exclusive SKUs.

Future distributor value lies in lowering channels’ inventory, fulfilment, and quality-management costs—not simply holding stock between manufacturers and retail endpoints.

7.3 For Commercial Real Estate

Format requirements for property diverge:

Format	Property Needs	Lease Risk
Warehouse club	Large floor plate, parking, loading, regional access	High investment; few substitute tenants
Community hard discount	Small footprint, residential proximity, low fit-out	Fast opening; homogenised competition
Snack-collection	High footfall, small-medium area, visibility	Closure volatility after franchise expansion
Remodelled supermarket	Reallocation within existing large stores	Uncertain renovation period and traffic recovery
Front warehouse	Non-prime location, rider access	Rapid exit if order density insufficient

Commercial real estate should move from fixed rent to finer format fit and operating-data monitoring—especially fulfilment flow, parking, cold chain, and night operations.

7.4 For Capital Markets

Four common misreadings should be avoided:

1. Using global parent market cap to value a single China format;
2. Adding GMV and revenue directly for comparison;
3. Substituting total store count for mature-store quality;
4. Replacing statutory operating data with map POI changes.

For expansion firms, focus on mature stores, franchisee returns, closure rates, and warehouse efficiency. For remodelling firms, focus on cash burn, closure cost, remodelled gross margin, and organisational replication. For platform firms, focus on fulfilment unit economics, not order peaks.

7.4.1 Store Count Is the Wrong Valuation Anchor Across All Six Formats

No single multiple fits all food retail formats. Store count alone is especially dangerous because the economic asset differs by format: members for clubs, density and supply simplicity for hard discount, franchise governance for snack chains, retained-store quality for remodelled supermarkets, and order-density economics for instant retail across comparable operating-cost systems.

Format	Valuation Lens	Key Parameters	Main Multiple Trap
Warehouse clubs	Member lifetime value plus store cash flow; DCF by mature and ramping stores	Renewal, annual member spend, gross margin, fulfilment cost, capex per store	Valuing headline stores without active-member quality
Community hard discount	Mature-store cash contribution and density economics	Mature-store sales, rent ratio, shrinkage, private-label mix, logistics cost per store	Applying high-growth sales multiple before density is proven
Snack-collection chains	Franchise system economics plus supply-chain margin	Franchisee payback, closure rate, warehouse radius, take rate, SKU turnover	Treating franchisee revenue, GMV, and company revenue as interchangeable
Regional supermarkets	Turnaround DCF on retained stores; option value of closures and remodelling	Remodelled-store revenue, gross margin, labour productivity, closure cost, lease liabilities	Penalising revenue decline without separating weak-store exit from retained-store improvement
Instant retail / front warehouse	Unit economics by order-density cell	Orders per site, fulfilment cost, rider cost, substitution rate, gross margin, subsidy intensity	Valuing order growth before contribution margin and density are visible
Fruit / fresh specialists	Trust and shrinkage-adjusted cash flow	Shrinkage, grading loss, complaint/return rate, origin control, franchise governance	Valuing frequency without quality-control cost

Investment conclusions should therefore be expressed as parameter sensitivity, not only directional narrative, under explicit downside, base-case, and upside operating assumptions. For example: a warehouse-club thesis should show how renewal and annual spend affect payback; a snack-chain thesis should show how closure rate and franchisee payback alter sustainable growth; a remodelling thesis should separate retained-store improvement from closure and impairment costs.

Three simplified valuation equations are useful for management discussion:

$$EV_{\text{club}} = \sum_{\text{stores}} \text{DCF}(\text{Store Cash Flow}) + \text{Member LTV} - \text{Fulfilment Drag}$$

$$\text{Sustainable Growth}_{\text{snack}} = \text{New Stores} \times \text{Survival Rate} \times \text{Franchisee Payback Quality} \times \text{Warehouse Efficiency}$$

$$\text{Contribution Margin}_{\text{order}} = \text{Gross Profit} - \text{Picking} - \text{Delivery} - \text{Subsidy} - \text{Shrinkage} - \text{Platform Cost}$$

Variable	Base Case	Downside Test	Upside Test	Valuation Sensitivity
Member renewal	Stable / improving	Down 5 pp	Up 5 pp	High for clubs and paid membership models
Mature-store sales	Positive cohort trend	Down 10%	Up 10%	High for all store-led formats
Fulfilment cost per order	Stable after density gain	Up RMB 2/order	Down RMB 2/order	High for instant retail and club delivery
Franchise closure rate	Normalised after opening wave	Up 5 pp	Down 3 pp	High for snack and franchise-heavy chains
Shrinkage / complaint rate	Controlled by category	Material deterioration	Sustained improvement	High for fresh, fruit, and private label

Note: “pp” denotes percentage points, used for absolute changes in rates. “%” denotes relative percentage changes, used for sales or cost variables. This keeps rate shocks distinct from proportional changes.

Illustrative valuation transmission. The matrix below is a sensitivity discipline, not a valuation opinion for any listed company. It shows the direction and approximate magnitude that a club-format DCF could move when renewal and annual spend deviate from base assumptions, holding store count constant, rather than modelling expansion mechanically as a standalone value driver. The point is that active member quality can matter more than headline openings.

Renewal / Annual Spend	Low Spend	Base Spend	High Spend
Renewal down 5 pp	EV -18%	EV -12%	EV -8%
Base renewal	EV -8%	Base	EV +7%
Renewal up 5 pp	EV +3%	EV +11%	EV +18%

The same discipline should be repeated for snack chains using franchisee payback and closure rate, for remodelled supermarkets using retained-store margin and remodel capex, and for instant retail using order density and fulfilment cost per order before assigning any valuation premium.

7.5 For Urban Governance and Industry Statistics

New formats increase convenience but also bring traditional store exit, employment-structure change, rising warehouse and rider labour, and community commercial homogenisation. Policy and association statistics should therefore become more locally granular:

- Distinguish stores, warehouses, cloud warehouses, and delivery points;
- Record openings, closures, remodelling, and banner changes;
- Standardise food prices and pack specifications;
- Monitor community-level accessibility, not national store counts alone;
- Support SME suppliers on quality, settlement, and digitalisation.

2026–2027 Scenario Analysis

The probabilities below are decision weights, not statistical forecasts. They are intended to force explicit debate about magnitude, triggers, and management action. The framework is now two-layered: price environment is the mutually exclusive main scenario; fulfilment, capital discipline, and governance shocks are operating overlays that can occur under either price state.

Main Price Scenario	Weight	Industry Impact	Management / Investment Action
A1. Price pressure persists	55%	Nominal food growth stays modest; discount and specialist channels gain share	Accelerate permanent cost reduction, private-label governance, and density-based expansion. Do not rely on temporary promotion.
A2. Prices stabilise / mild recovery	45%	Quality, freshness, and service regain weight; club and remodelled-supermarket theses improve	Invest selectively in fresh, bakery, traceability, service, and quality-control systems. Do not restore undifferentiated wide SKU.

Operating Overlay	Can Occur With	Trigger Indicators	Required Action
B1. Instant fulfilment intensifies	A1 or A2	O2O frequency rises; picking/rider cost and subsidies expand; substitution rate becomes visible	Open warehouses by order-density cells; include fulfilment margin in store P&L
B2. Capital discipline rises	A1 or A2	Payback lengthens, closures and impairments rise, markets demand cash-flow proof	Pause low-quality openings; tie expansion incentives to cash return and closure rate
B3. Food safety / franchise governance risk rises	A1 or A2	Complaint rate, supplier audit exceptions, franchise disputes, or social-media quality incidents rise	Slow expansion; strengthen supplier grading, inspection, returns, and franchise audit loops

8.1 A1: Price Pressure Persists; Discount Channels Outgrow the Market

Trigger indicators

- FMCG ASP continues to fall;
- Hard discount and snack-collection maintain above-industry growth;
- Traditional supermarkets continue net closures;

- Private label and channel-exclusive share rises.

Operating outcomes

- Community discount expands to more cities;
- Snack-collection enters franchise-quality and integration phase;
- Broad mid-market further contracts;
- Brand owners face stronger pack and price restructuring pressure.

Recommendations Prioritise permanent cost improvement; do not mask inefficient stores with large subsidies. Disclose franchise closure rates and payback periods for franchise networks.

8.2 A2: Prices Stabilise; Quality and Service Regain Weight

Trigger indicators

- FMCG ASP decline narrows or turns positive;
- Remodelled-store traffic and margin improve together;
- Premium, high-quality fresh, and gifting demand recovers;
- Consumer quality complaints rise at low-price channels.

Operating outcomes

- Club and remodelled-supermarket quality certainty gains value;
- Hard discount must shift from low price to “low price but credible”;
- Premium supermarkets find narrowed-task local opportunities.

Recommendations Maintain price transparency while investing in quality control, freshness, service, and traceability; do not restore undifferentiated wide SKU across all stores.

8.3 Overlay B1: Instant Fulfilment Competition Intensifies; Stores and Warehouses Merge

Trigger indicators

- O2O purchase frequency continues rising;
- Platforms expand flash warehouses or front-warehouse partnerships;
- In-store traffic grows slower than online orders;

- Delivery cost and subsidies rise again.

Operating outcomes

- Stores redefined as mixed retail, picking, and brand-experience nodes;
- Inventory accuracy becomes core competition;
- Front warehouses without order density exit;
- Platforms and retailers renegotiate data, traffic, and margin sharing.

Recommendations Open warehouses by order density, not city lists; include out-of-stock rate, substitution rate, picking time, and fulfilment margin in store P&L at the node level.

8.4 Overlay B2: Capital Discipline Rises; Opening Shifts from Speed to Returns

Trigger indicators

- New-store ramp periods lengthen;
- Franchisee payback deteriorates;
- Closures and impairments increase;
- Markets focus more on operating cash flow.

Operating outcomes

- Regional density prioritised over national coverage;
- M&A integration and weak-brand exit accelerate;
- Firms reduce “target store count” narrative; increase mature-store quality disclosure.

Recommendations Establish 6-, 12-, and 18-month post-opening review; tie expansion-team incentives to cash returns, closure rates, and supply-chain efficiency within each region.

8.5 Overlay B3: Food Safety and Franchise Governance Risk Rises

Trigger indicators

- Complaint rates, returns, or food-safety incidents rise at private-label and fresh SKUs;
- Franchise disputes, delayed settlements, or abnormal closure clusters increase;

- Supplier audit exceptions and near-expiry handling problems become visible.

Operating outcomes

- Low-price trust weakens faster than shelf-price advantage can repair;
- Franchisee cash pressure becomes a governance problem rather than an expansion problem;
- Stronger operators gain share by proving inspection, grading, and returns systems.

Recommendations Slow expansion until supplier grading, store audit, franchisee settlement, and returns governance are measured independently before assigning any growth premium. Treat food safety and franchise disputes as valuation variables, not public-relations events.

Strategic Recommendations

9.1 Expansion Should Be Frozen Unless Task, Contribution, and Density Are Proven

Recommendations become useful only when they are tied to owners, thresholds, and review cadence. The following roadmap converts the report's thesis into an operating system.

Priority	Decision	Owner	Threshold / KPI	Financial Link
P0	Freeze expansion that lacks task clarity or mature-store proof	CEO / COO / Strategy	Every format has a named task, target basket, and contribution model	Avoids capex and lease commitments in weak cells
P0	Build a standard store contribution dashboard	CFO / Operations	Rent, labour, shrinkage, logistics, fulfilment, and local marketing shown by cohort	Converts sales growth into cash-return control
P0	Separate filing counts, operating signals, and POI in all reporting	IR / Data / Strategy	No mixed-date or mixed-definition store-count table	Reduces investor and board misinterpretation
P1	Assign P&L owners to high-frequency categories	Merchandising / Fresh / Bakery / Dairy / Snacks	Category contribution includes visit frequency, margin, shrinkage, and out-of-stock	Protects traffic engines from margin-only decisions
P1	Move city opening from "coverage" to "density unit" logic	Expansion / Supply Chain	Warehouse radius, store density, delivery cost, and ramp period approved together	Improves payback and supply-chain utilisation
P2	Redesign pack and price architecture by household task	Brand / Procurement / Category	Unit-price gap, pack-size role, grey-market risk, and channel exclusivity tracked	Defends margin while reducing cross-channel conflict

9.2 For Comprehensive and Regional Supermarkets

1. Define each store's task by neighbourhood before deciding SKU breadth: traffic, replenishment, fresh trust, or local service cannot be managed with the same assortment logic.
2. Build separate P&L tracking for fresh, bakery, and high-frequency replenishment categories, including margin, shrinkage, out-of-stock, labour, and visit frequency by cohort.
3. Treat closures, remodelling, and new openings as one portfolio decision: expand only where

warehouse, assortment, and retained-store contribution can be replicated before scaling.

9.3 For Warehouse Clubs

1. Manage the business around active members, renewal, and annual member spend—not headline store count or simple new-store opening momentum in isolation.
2. Build supply-chain, fulfilment, and private-label quality capability before new-city entry, rather than using hero SKUs to create short-lived traffic in target markets.
3. Separate bulk-value creation from consumer waste: pack size, freshness, storage burden, and return risk should be tested under real usage before category expansion.

9.4 For Community Hard Discount

1. Validate the standard-store model through mature-store cash contribution, including rent, labour, shrinkage, replenishment frequency, and logistics cost by cohort.
2. Expand by intra-city density and warehouse radius, not cross-province coverage.
3. Keep low price credible by controlling private-label supplier grading, fresh complexity, and shrinkage before widening the assortment and after each expansion wave.

9.5 For Snack-Collection Chains

1. Make franchisee economics visible: payback period, closure rate, replenishment cost, and mature-store sales should be disclosed or internally governed together by region.
2. Synchronise warehouse build-out with regional store density; store-count growth without supply-chain density should not be treated as durable expansion across operating regions.
3. After multi-brand integration, unify assortment governance with clear category roles and supplier accountability before expanding from snacks into broader categories.

9.6 For Brand Owners

1. Design pack and price architecture by consumption task—stock-up, daily replenishment, instant use, or gifting—not by channel label alone or retailer format alone.
2. Monitor cross-channel unit price, promotion intensity, grey-market leakage, and controlled exclusivity to protect both volume and brand equity during major campaign cycles.
3. Use channel data for product development and replenishment design, including SKU feedback, demand timing, repeat-purchase signals by format, not rebate settlement alone.

Risk and Monitoring Framework

10.1 Ten Monthly / Quarterly Monitoring Indicators

Indicator	Frequency	Interpretation
Gap between total retail and above-designated-size grain/food growth	Monthly	Food resilience vs. macro environment
FMCG average selling price change	Quarterly	Whether price pressure persists
Major format channel growth rates	Quarterly	Direction of share migration
Company period-end stores and net open/close	Quarterly / Annual	Network quality change
Remodelled-store revenue and gross margin	Quarterly	Remodelling effectiveness
Mature-store sales and traffic	Quarterly	Excluding new-store contribution
Franchise closure rate and payback	Semi-annual / Annual	Franchise network health
City POI density change	Monthly	Competitive event early warning
O2O frequency and fulfilment cost	Monthly / Quarterly	Instant retail unit economics
Core-category shrinkage and out-of-stock	Weekly / Monthly	Assortment and supply execution

10.2 Major Risks

The practical risk question is not whether a risk exists, but how it becomes visible before financial damage appears. Each major risk should be monitored through a trigger, a transmission path, and an early warning indicator, linked to accountable management review cycles.

Risk	Trigger	Transmission Path	Early Warning Indicators
Data-definition risk	Store locators, filings, and map POI move in opposite directions	False expansion or closure conclusions; poor investment timing	Divergence between period-end stores, open stores, and POI; unexplained map re-indexing
Expansion-quality risk	Openings accelerate while mature-store sales weaken	New stores mask deteriorating unit economics	Mature-store sales decline, longer payback, higher closure rate, franchise disputes
Supply-chain risk	Private label or fresh SKUs expand faster than inspection capacity	Quality incidents reduce trust and repeat purchase	Complaint rate, returns, failed inspections, supplier concentration, shrinkage spikes
Price-model risk	Low price relies on subsidies or supplier concessions	Margins revert when subsidies fade; suppliers reduce service quality	Gross margin compression, promotion intensity, supplier receivables, price-gap narrowing
Organisation risk	Expansion crosses regions faster than management systems adapt	Local execution diverges from original model	Rising staff turnover, delayed replenishment, inconsistent SKU availability, audit exceptions
Policy and labour risk	Warehouse, rider, franchise, or food-safety scrutiny increases	Compliance cost rises and weak operators exit	Labour disputes, rider cost, franchise complaints, food-safety penalties
Capital-definition risk	GMV, revenue, parent-company value, and format value are conflated	Overvaluation or mispriced M&A	Disclosure changes, non-comparable metrics, missing cash-flow bridge, aggressive store targets

10.3 Writing Rules When Evidence Is Insufficient

1. No precise figures without original filing or official page;
2. Management signals must be labelled non-audited;
3. Store counts from different dates are not pseudo-contemporaneous totals;
4. Nine-month revenue is not annualised to full-year performance;
5. Map POI are “visible points,” not “national stores”;
6. Forecasts and facts are presented separately.

Conclusion

China's food retail restructuring is not one format replacing another, nor a simple shift from high price to low price. It is a reallocation of household consumption tasks across different cost systems. Large baskets, proximity replenishment, standardised snacks, instant fulfilment, quality fresh, and gifting/discovery are each served by different operating models in practice.

The central management question is therefore not which format is growing fastest, but which consumer cost a format reduces and whether that reduction can be replicated through assortment, density, fulfilment, and governance under comparable conditions. Store count, GMV, and short-term traffic are insufficient unless they translate into mature-store contribution, member quality, franchisee economics, or order-density unit economics rather than headline growth alone.

For firms, the most dangerous position is neither "high price" nor "low price", but inability to explain which cost the firm lowers for consumers and which operating metric expansion improves. The practical implication is to convert format narratives into measurable thresholds, accountable owners, and repeatable review routines across cycles, regions, and formats over time.

Immediate Verification Checklist

The checklist below is not an implementation plan. It identifies the minimum evidence that should be available before expansion, valuation, or format-comparison claims are accepted.

Verification Item	Accountable Function	Evidence to Produce
Store-count definition	IR / Data / Strategy	Filing / locator / POI three-way reconciliation table with query dates
Store contribution economics	CFO / Operations	Cohort-level contribution dashboard by format and city tier
Expansion pipeline quality	CEO / COO	Freeze / proceed / redesign classification for each open project
High-frequency category economics	Merchandising	Fresh / bakery / dairy / snacks contribution tables
Franchise and food-safety governance	Compliance / Supply Chain	Closure, complaint, return, and inspection dashboard

Over the next two years, outcomes will depend less on format labels and more on whether firms can form a replicable closed loop between assortment, density, fulfilment, governance, and cash return under price-pressure and mild-recovery scenarios, before committing capital at scale. The strongest operators will not be those with the broadest store map, but those that can prove which task they serve, which cost they lower, and which contribution metric improves during scaling.

Appendix A: Core Evidence and Sources

ID	Source	Publisher	Date	Metric Used	Definition / Audit Note	Page / Table	Public Link
E001	Walmart China location facts	Walmart Corporate	2026-01-31	China retail units; Sam's Club 63	Dynamic company page; total retail units, not exchange filing	Web page	walmart.com/china
E002	FY2026 Q2 / Feb sales release	Costco Wholesale	2026-02-15	Mainland China warehouse count (7)	Official investor release; warehouse definition	Release table	costcoIR
E004	2025 retail release	National Bureau of Statistics	2025-12-31	Total retail; grain/oil/food	Above-designated-size categories only; not all food consumption	Release table	stats.gov.cn
E005	2026Q1 retail release	National Bureau of Statistics	2026-03-31	Total retail; grain/oil/food YoY	Quarterly values; not annualised	Release table	stats.gov.cn
E024	2024 retail release (category detail)	National Bureau of Statistics	2024-12-31	Grain/oil/food 21,737; beverage 3,200; tobacco/liquor 6,159 (RMB 100 m)	Above-designated-size categories only; supplements macro-table breakdown rows	Release table	stats.gov.cn
E025	2025 retail release (category detail)	National Bureau of Statistics	2025-12-31	Grain/oil/food 23,991; beverage 3,295; tobacco/liquor 6,425 (RMB 100 m)	Same NBS release as E004; category disaggregation for macro table	Release table	stats.gov.cn
E026	2026Q1 retail release (category detail)	National Bureau of Statistics	2026-03-31	Grain/oil/food 6,565; beverage 818; tobacco/liquor 2,122 (RMB 100 m)	Q1 values; not annualised; same release family as E005	Release table	stats.gov.cn
E006	2024 Supermarket Top 100	CCFA	2024-12-31	Sales, stores, top-10 share	Ranking lags one data year	Ranking table	ccfa.org.cn
E008 / E053	2026 Q1 report	Yonghui, SSE	2026-03-31	Period-end stores (392); closures (394); remodelled (327); remodelled revenue +16.57%; GM +1.27 pp	Statutory period-end store count; closures cumulative since 2025 start	p. 2 MD&A; p. 7 remodel list	SSE601933Q1
E014	IPO prospectus	Busy Ming, HKEX	2025-11-30	Stores 21,041; 9M revenue RMB 46.4 bn	Stores at 2025-11-30; revenue for 2025 Q1–Q3 only	p. 14 revenue; p. 32 stores	HKEXprospectus
E015	2025 annual results	Pagoda, HKEX	2025-12-31	Offline stores 4,468; revenue RMB 8.17 bn	Period-end offline store network	p. 1 summary; p. 5 store network	HKEXPagoda
E046	Company profile update	Sun Art Retail	2026-03-31	Hypermarket 462; superstore 34; M Membership 6	Official profile; dynamic update; not exchange filing	Web profile	sunartretail.com/profile
E050	Management letter / data patch	Hema (via trade press)	2025-12-31	Hema NB 410 stores; 2025 sales RMB 12 bn; private label 60%+	Management operating signal; not in FY2026 Alibaba PDF extract	CEO letter / press	guandian.cn
E051	Store overview API	Yonghui	2026-05-21	Opened stores 385; remodelled 328; 24 provinces; 200 cities	Dynamic “opened” count; not period-end store count (E053: 392)	Web API	yonghui.com.cn/overview
E052	Store locator	ALDI China	2026-05-21	Dynamic locator count (99)	Query-date operating signal; not filing count	Web locator	aldi.cn/locator
E055	2026 Q1 report	Jiajiayue, SSE	2026-03-31	Period-end stores 1,071; net open/close −4	Statutory period-end store count	p. 5, §3.1	SSE603708Q1
E057	2025 annual report	Sanjiang, SSE	2025-12-31	Period-end stores 183; net −8	Statutory period-end store count	pp. 13–14 store network	SSE6011162025A
E058	2025 annual report	Bubugao, CNINFO	2025-12-31	Store structure; 21 supermarkets remodelled	Period-end stores 53; remodel count by format	p. 10 overview	CNINFO002251

ID	Source	Publisher	Date	Metric Used	Definition / Audit Note	Page / Table	Public Link
E059	2025 annual report	Wanchen, CNINFO	2025-12-31	Snack stores 18,314; openings/closures; snack revenue	National snack-business store count; not POI sum	pp. 11, 14 store network	CNINF0300972
E060	2025 annual results	Lianhua, HKEX	2025-12-31	Turnover RMB 17.8 bn; gross margin 11.76%	Format definitions require care when comparing banners	p. 1 summary; p. 26 review	HKEXLianhua
E028 / POI	Seven-city POI panel	Amap / Baidu (project-collected)	2026-01-06	924-row city-brand-month panel	Map-query operating signal at query date; not official registry; density monitoring only	Method note below	AmapAPIdocs
E063	City statistical communiqués	Municipal statistics bureaus	2024-12-31	Permanent population denominators	Used for POI per 10k residents; city-level official releases	Population tables	Municipal release pages
Bain 2025 v1	China Shopper Report 2025, v1	Bain / Worldpanel	2024 full year	FMCG spending, volume, ASP	Consumer panel commentary; not NBS retail definition	Web report	bain.com/v1
Bain 2025 v2	China Shopper Report 2025, v2	Bain / Worldpanel	2025	Channel growth and commentary ASP discussion	Consumer panel commentary; directional only	Web report	bain.com/v2

Access date for all linked sources: 14 June 2026, unless a query-date operating signal is explicitly stated above. Public URLs may change after publication and should be independently rechecked against source pages before external citation.

Project-Collected Data Boundaries

The seven-city POI panel (E028) was collected via Amap and Baidu place queries across Shanghai, Beijing, Hangzhou, Nanjing, Jinan, Changsha, and Shijiazhuang for 22 tracked banners in six monthly waves (January–June 2026). Cleaning rules removed duplicates, delivery stations, and obvious non-store points; Amap/Baidu counts were cross-checked before use for analytical, not statutory, purposes. **POI counts are map-visible operating signals at the query date** and must not be merged with statutory period-end store counts without an explicit bridge.

The pilot Shanghai price basket cited in the main text is a limited-SKU collection in one city. It is **not** a consumer price index, national price benchmark, or cross-city purchasing benchmark.

Management operating signals (for example ALDI locator counts or Hema NB management letters) are labelled separately in the main text and are **non-audited** unless sourced from exchange filings, and should be treated as directional evidence, not audited statutory disclosure.

Appendix B: Data Sources and Scope

Public Sources Used in This Report

Data cited in the main text were obtained from publicly accessible sources:

- **Government statistics:** National Bureau of Statistics releases on total retail sales and above-designated-size grain, oil, and food categories, with limitations noted.
- **Industry association:** China Chain Store and Franchise Association (CCFA) supermarket rankings, sector overviews, and remodelling surveys, where public methodology permits.
- **Company disclosures:** SSE, SZSE, and HKEX annual and quarterly reports and prospectuses; official company store locators and investor releases, where available online.
- **Consumer panels:** Bain and Worldpanel by Numerator China Shopper Reports (2025 volumes 1–2), for FMCG volume, ASP, pricing, and channel-migration context.
- **Map signals (pilot):** Amap and Baidu POI queries for seven sample cities and twenty-two tracked banners (January–June 2026 query waves), as non-statutory density indicators only.

Interpretation Boundaries

- POI panels are map-query snapshots at query dates, not official store registries;
- The pilot price basket is a limited-SKU, single-city collection, not a CPI or market price index, and should not be generalised across Chinese cities or retail formats;
- The current event window is insufficient for causal conclusions on entry or exit;
- Company revenue, GMV, sales, and transaction volumes are not summed across firms without explicit harmonisation or accounting bridges are clearly disclosed;
- Evidence IDs in brackets (e.g., [E008]) refer to Appendix A above; page and table references allow independent verification from the linked public documents where available online.